Fiscal Impact Statement

Legislative Council Staff

Nonpartisan Services for Colorado's Legislature

PROPOSITION 135: PROHIBIT SURGERY ON MINORS IN RESPONSE TO PERCEPTION OF SEX OR GENDER

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Summary Information

Overview. The measure prohibits surgeries on minors that alter their biological sex characteristics as a treatment in response to a minor's perception of sex or gender, with certain exceptions. It also prohibits the use of state or federal funds or insurance coverage to pay for these surgeries.

Types of impacts. The measure is projected to affect the following areas:

- Minimal State Revenue
- Minimal State Expenditures

Disclaimer. This fiscal impact statement has been prepared for a statewide ballot measure appearing at the 2026 statewide election. Any appropriations required to implement this measure will be addressed through the annual or supplemental budget process if this measure is approved by voters. For more information about this measure, please see the ballot information booklet.

Table 1
State Fiscal Impacts

Type of Impact	Current Year FY 2026-27	Budget Year FY 2027-28
State Revenue	$0	$0
State Expenditures	$0	$0
Transferred Funds	$0	$0
Change in TABOR Refunds	$0	$0
Change in State FTE	0.0 FTE	0.0 FTE

Proposition 135

Summary of Measure

The measure prohibits gender-affirming surgery on minors for the purpose of altering biological sex characteristics as a treatment in response to the minor's perception of sex or gender. The prohibition includes gender affirming surgeries, which are a range of procedures that may be provided to transgender individuals to make their physical appearance match their gender identity. The measure may also limit other surgeries for minors, including non-transgender minors, if the treatment is interpreted as being in response to the minor's sex or gender perception.

The measure allows male circumcision and treatments for medically verifiable disorders of sex development or acquired physical or chemical abnormalities. Non-surgical gender-related treatments, such as social transition options and counseling, are also not restricted by the measure.

Finally, the measure prohibits the government and insurance carriers from paying for these prohibited surgeries.

Background

On June 20, 2025, the Centers for Medicare and Medicaid issued a rule removing sex-trait modification, known as gender-affirming care, from the federal list of Essential Health Benefits. Therefore, the Department of Health Care Policy and Financing (HCPF) is no longer required to cover these services.

The three large pediatric surgical providers in Colorado—Children's Hospital Colorado, Rocky Mountain Children's, and Denver Health—report that they do not perform gender- or sex-based surgeries on transgender patients under 18 years of age.

State Revenue

To the extent that the measure results in additional complaints being filed against regulated medical professionals, or that these complaints result in administrative actions or fines, revenue may increase to the Department of Regulatory Agencies (DORA) and the Judicial Department. Given that regulated professionals are assumed to have a high level of compliance, any impact is anticipated to be minimal.

State Expenditures

The measure potentially decreases costs for HCPF and state employee insurance, and minimally impacts workload in DORA and the Judicial Department.

Department of Health Care Policy and Financing

The measure potentially decreases costs in HCPF for Medicaid to no longer cover certain gender-affirming surgeries for minors. Given recent data on utilization by minors through Medicaid, these savings are expected to be minimal.

State Employee Insurance

The measure potentially decreases costs for state employee health plans to no longer cover certain gender-affirming surgeries for minors which may result in a decrease in insurance premiums paid by state agencies. Given recent data on utilization by minors, these savings are expected to be minimal.

Department of Regulatory Agencies

The measure will increase workload for the Division of Insurance, the State Medical Board, and other professional boards in DORA to update materials, conduct outreach, and to promulgate rules; no change in appropriations is required. Workload may also increase to the extent that complaints against regulated professionals and insurance carriers increase. This analysis assumes that regulated professionals and insurance carriers will comply with the law.

Judicial Department

The Judicial Department may handle additional civil cases if any individuals or entities do not comply with the measure. Since DORA regulates most affected medical providers and insurance carriers, it is assumed that trial court workload will be minimal.

Local Governments

Similar to the state, local governments may have reduced premium costs for employee health insurance to the extent the prohibition under the measure lowers utilization of certain surgeries by minors covered on these plans. Overall, this local impact is expected to be minimal.

Effective Date

If approved by voters at the 2026 general election, this measure takes effect on January 1, 2027.

State and Local Government Contacts

Health Care Policy and Financing
Judicial
Law
Personnel
Public Health and Environment
Regulatory Agencies